

MODEL TEST PAPER 7
INTERMEDIATE COURSE: GROUP-I
PAPER – 3: TAXATION

Time Allowed – 3 Hours

Maximum Marks – 100

SECTION – A: INCOME TAX LAW (50 MARKS)

Working Notes should form part of the answer. Wherever necessary, suitable assumptions may be made by the candidates and disclosed by way of a note.

However, in answers to Questions in Division A, working notes are not required.

The relevant assessment year is A.Y.2025-26.

Division A – Multiple Choice Questions

Write the most appropriate answer to each of the following multiple choice questions by choosing one of the four options given. All questions are compulsory.

1. Mr. Amit, an Indian citizen, aged 61 years, has set-up his business in France and is residing in France since 2010. He owns a house property in France, half of which is used by him for his residence and half is given on rent (converted into INR is ₹ 12,00,000 p.a.).

Mr. Amit visited India for 65 days during the previous year 2024-25. Before that he visited India in total for 366 days during the period 1.4.2020 to 31.3.2024.

He derived some other incomes during the F.Y. 2024-25 which are as follows:

- (i) Profit from business in France ₹ 2,75,000
- (ii) Interest on bonds of a Co. in France ₹ 6,20,000 out of which 50% was received in India.
- (iii) Income from Apple Orchid in Nepal given on contract and the yearly contract fee of ₹ 5,00,000 for F.Y. 2024-25, was received by Amit in Nepal.

Mr. Amit has sold 10,000 listed shares @ ₹ 480 per share of ABC Ltd., an Indian company, on 15.9.2024, which he acquired on 05-04-2021 @ ₹ 100 per share. STT was paid both at the time of acquisition as well as at the time of transfer of such shares.

On 31-01-2018, the shares of ABC Ltd. were traded on a recognized stock exchange as under:

Highest price - ₹ 300 per share

Average price - ₹ 290 per share

Lowest price - ₹ 280 per share

Based on the facts of the case scenario given above, choose the most appropriate answer to the following questions:-

- (i) What would be the residential status of Mr. Amit for the A.Y. 2025-26?
- (a) Resident and ordinarily resident in India
 - (b) Resident but not ordinarily resident in India
 - (c) Non-resident
 - (d) Deemed resident
- (ii) What amount of capital gain would arise in the hands of Mr. Amit on transfer of shares of ABC Ltd?
- (a) ₹ 18,00,000
 - (b) ₹ 19,00,000
 - (c) ₹ 20,00,000
 - (d) ₹ 38,00,000
- (iii) What would be the total income of Mr. Amit for the A.Y. 2025-26?
- (a) ₹ 41,10,000
 - (b) ₹ 38,00,000
 - (c) ₹ 21,10,000
 - (d) ₹ 49,50,000
- (3 x 2 = 6 Marks)**

2. Miss Himani transferred to his husband, Mr. Hemant, a residential property worth ₹ 45 lakhs located in Nagpur without any consideration. The expected rent of such property is ₹ 5 lakhs. Municipal tax of ₹ 5,000 paid by Miss Himani for this property during the previous year 2024-25. Miss Himani has three residential properties in Mumbai. The expected rent from the 3 properties situated in Mumbai is ₹ 10 lakhs, ₹ 11 lakhs and ₹ 12 lakhs respectively. She purchased the properties out of her own funds. Municipal taxes due are ₹ 15,000, ₹ 20,000 and ₹ 25,000. The same have, however, not been paid this year in respect of the three properties. The expected rent is lesser than the standard rent in case of all the aforementioned properties. Miss Himani does not have any income from any other source.

Miss Himani's father, aged 58 years had capital gains of ₹ 5 crores from sale of house property. He reinvested the proceeds from sale in another residential house of ₹ 4.98 crores and the remaining sale proceeds were deposited in his savings bank account. He has paid ₹ 1,50,000 towards LIC premium. He has no other source of income.

Based on the facts of the case scenario given above, choose the most appropriate answer to the following questions:

- (i) What is the amount of income liable to be taxed in the hands of Miss Himani under the head "Income from House Property" for A.Y.2025-26?
- (a) ₹ 7,00,000
 - (b) ₹ 10,46,500

- (c) ₹ 10,50,000
 - (d) ₹ 13,76,500
- (ii) What would be tax liability of Miss Himanil for the A.Y. 2025-26? Compute in a manner so that her tax liability is minimum.
- (a) ₹ 66,300
 - (b) ₹ 59,250
 - (c) ₹ 69,650
 - (d) ₹ 1,31,510
- (iii) Is Himani's father required to furnish his return of income in India for the A.Y.2025-26?
- (a) No, he is not required, since his income does not exceed basic exemption limit
 - (b) Yes, he is required to furnish return of income on or before 31st July, 2025
 - (c) Yes, he is required to furnish return of income on or before 30th September, 2025
 - (d) Yes, he is required to furnish return of income on or before 31st October, 2025

(3 x 2 = 6 Marks)

3. During the P.Y.2024-25, Mr. Ranjit has short-term capital gains of ₹ 95 lakhs taxable under section 111A, long-term capital gains of ₹ 110 lakhs taxable under section 112A and business income of ₹ 90 lakhs. Which of the following statements is correct if Mr. Ranjit is paying tax under default tax regime?
- (a) Surcharge @15% is leviable on income-tax computed on total income of ₹ 2.95 crore.
 - (b) Surcharge @25% is leviable on income-tax computed on total income of ₹ 2.95 crore, since total income exceeds ₹ 2 crore.
 - (c) Surcharge @15% is leviable in respect of income-tax computed on capital gains of ₹ 2.05 crore; in respect of business income, surcharge is leviable @25% on income-tax, since total income exceeds ₹ 2 crore.
 - (d) Surcharge @15% is leviable in respect of income-tax computed on capital gains of ₹ 2.05 crore; surcharge @10% is leviable on income-tax computed on business income, since the same exceeds ₹ 50 lakhs but is less than ₹ 1 crore.
- (2 Marks)**
4. Mr. Raj incurred short-term capital loss of ₹ 10,000 on sale of shares through the National Stock Exchange. Such loss -
- (a) can be set-off only against short-term capital gains
 - (b) can be set-off against both short-term capital gains and long-term capital gains.

- (c) can be set-off against any head of income.
 (d) not allowed to be set-off.

(1 Mark)

Division B – Descriptive Questions

Question No. 1 is compulsory

Attempt any **two** questions from the remaining **three** questions

1. (a) Mr. Sahil, resident Indian aged 40 years, a Manufacturer at Chennai, gives the following Manufacturing, Trading and Profit & Loss Account for the year ended 31.03.2025.

Manufacturing, Trading and Profit & Loss Account for the year ended 31.03.2025

Particulars	₹	Particulars	₹
To Opening Stock	4,97,000	By Sales	3,04,50,000
To Purchase of Raw Materials	1,20,43,500	By Closing Stock	14,00,000
To Manufacturing Wages & Expenses	40,63,500		
To Gross Profit	1,52,46,000		
Total	3,18,50,000	Total	3,18,50,000
To Administrative Charges	20,30,000	By Gross Profit	1,52,46,000
To SGST Penalty Paid		By Dividend From Domestic Companies	1,05,000
(It is not compensatory nature)	49,000	By Winning from Lotteries (Net of TDS) (TDS 31,500)	73,500
To GST Paid	7,70,000	By Profit on Sale of Shares	3,15,000
To General Expenses	3,85,000		
To Miscellaneous Expenses	10,53,500		
To Loss on Sale of Shares	1,40,000		
To Interest to Bank for term loan	4,20,000		
To Depreciation	14,00,000		
To Net Profit	94,92,000		
Total	1,57,39,500	Total	1,57,39,500

Following are the further information relating to Financial Year 2024-2025:

- (i) Administrative Charges include ₹ 46,000 paid as commission to brother of the assessee. The Commission amount at the market rate in ₹ 36,000.
- (ii) The assessee paid ₹ 33,000 in cash to a Transport Carrier on 26.12.2024. This amount is included in Manufacturing Expenses. (Assume that the provisions relating to TDS are not applicable on this payment.)
- (iii) Bank Term Loan Interest actually paid upto 31.03.2025 was ₹ 1,40,000 and the balance was paid in October 2025.
- (iv) Miscellaneous Expenses include ₹ 10,000 contributed to Prime Minister's Relief Fund by account payee cheque.
- (v) Loss on Sale of Shares represents shares sold within a period of 6 months from the date of purchase.
- (vi) Profit on Sale of Shares represents shares sold in December 2024 and held for 2 years & Securities Transaction Tax was paid on it.
- (vii) Housing Loan Principal repaid during the year was ₹ 50,000 and it relates to residential property occupied by him. Interest on Housing Loan was ₹ 2,60,000. Housing Loan was taken from Canara Bank. (Value of house property is ₹ 45 lakhs, loan value ₹ 25 lakhs and sanction date 31.03.2020). These amounts were not dealt with in the Profit and Loss Account given above.
- (ix) Depreciation allowable under the Act to be computed on the basis of following information:

Plant & Machinery (Depreciation Rate @15%)	₹
Opening WDV (as on 01.04.2024)	84,00,000
Additions During the year (Used for more than 180 Days)	14,00,000
Total Additions during the year	28,00,000
Note: Ignore Additional Depreciation u/s 32(1)(iia)	

Compute the total income and tax liability of Mr. Sahil for the A.Y. 2025-26 if he has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A). **(15 Marks)**

2. (a) Mr. Tilak aged 35 years, furnishes the following information regarding his income for the assessment year 2025-26. Compute the total income if he is:
 - (1) Resident and Ordinarily Resident.
 - (2) Resident but Not Ordinarily Resident
 (Ignore the provisions of Section 115BAC).

- (i) FTS of ₹ 50,000 for service rendered in Malaysia to a non-resident for business in Malaysia, credited to his bank account in Malaysia and immediately remitted to his bank account in India.
 - (ii) Profits from a business in England controlled from Bombay ₹ 3,00,000 (out of which ₹ 25,000 is received in India).
 - (iii) Amount brought to India out of past untaxed profits earned in Singapore ₹ 1,00,000.
 - (iv) Capital gain on sale of land in India but received in Malaysia ₹ 2,00,000.
 - (v) Income from agriculture land at Nepal of ₹ 18,000, received there and then brought to India.
 - (vi) He paid ₹ 50,000 towards principal payment of loan taken for construction of his self-occupied house in India.
 - (vii) Interest on saving bank deposit in State Bank of India of ₹ 12,000. **(6 Marks)**
- (b) Examine the applicability of Tax Deduction at Sources (TDS) or Tax Collection at Source (TCS) as per the Income Act, 1961 for the assessment year 2025-26 in the following independent situations.
- (i) ABC Limited paid rent of ₹ 75,000+18% GST per month to Mr. Ram for the office premises from 01.04.2024 to 31.03.2025. Mr. Ram has furnished his PAN and also filed his return of income before due date regularly.
 - (ii) XYZ Pvt. Ltd sells two cars to Mrs. Anju costing ₹ 4,00,000 and ₹ 12,00,000 respectively on 01.05.2024 and 25.12 2024. Mrs. Anju has furnished her PAN and filed her return of income regularly before the due date. **(4 Marks)**
3. (a) (i) Mr. Ravi received an advance of ₹ 2,00,000 on 10.5.2024 from a closely held manufacturing company (private company in which the public are not substantially interested) in which he holds 22% shareholding. The company had an accumulated profit of ₹ 1,00,000 at the time of giving the advance. Compute the amount of income to be included in the hands of Mr. Ravi for the assessment year 2024-25 and also state the head under which it is to be included. **(2 Marks)**
- (ii) Mr. Rajo has commenced business on 1.4.2024. He finished the following information regarding the payments made towards Scientific Research during the financial year 2024-25:
- (i) Revenue expenditure on Scientific Research incurred during the year ₹ 1,00,000.
 - (ii) Capital Expenditure for Scientific Research ₹ 3,00,000.
 - (iii) Contribution to Notified approved research association ₹ 1,50,000.

- (iv) Amount paid to H Limited an Indian company which has as its main object scientific research and approved by the prescribed authority ₹ 2,50,000.
- (v) Expenditure of ₹ 2,50,000 towards purchase of Land for scientific research.
- (vi) He also incurred revenue expenditure of ₹ 2,00,000 towards salary of research staff in the F.Y.2023-24 and certified by the prescribed authority.

Compute the deduction allowable u/s 35 for the assessment year 2025-26 assuming that he has opted out of default tax regime u/s 115BAC. **(4 Marks)**

- (b) Mr. Surinder furnishes the following particulars for the previous year ending 31.03.2025. He had a Residential House, inherited from his father in December 2009, the Fair Market Value of which on 01.04.2001 is ₹ 13 lakhs. In the year 2013-2014, further construction and improvements costing of ₹ 10 lakhs. The House was originally purchased by his father on 01.03.2000 for ₹ 10 Lakhs. On 10.05.2024, the House was sold for ₹ 85 Lakhs. Expenditure in connection with transfer is ₹ 50,000. On 20.12.2024, he purchased a Residential House for ₹ 12 lakhs and he does not own any other house.

Compute the taxable Capital Gain for the assessment year 2025-26.

(Cost Inflation Index: F.Y. 2013-14:220, F.Y.2024-25:363, F.Y. 2009-10:148 and F.Y. 2001-02:100) **(4 Marks)**

- 4. (a) Mr. Joshi, resident Indian, aged about 58 years, furnished the following details of his income for the previous year 2024-25:
 - (i) Income from House property (computed) ₹ 2,00,000.
 - (ii) Income from Proprietary Business ₹ 3,00,000.
 - (iii) Short Term Capital Gain on sale of Land ₹ 2,00,000.
 - (iv) Short Term Capital loss on sale of equity shares listed in recognized stock exchange (STT paid) ₹ 75,000.
 - (v) Interest on Bank fixed deposit ₹ 50,000 received by his son, aged 21 years, out of money gifted by Mr. Joshi in 2023.
 - (vi) Loss from Speculation Business ₹ 40,000.
 - (vii) Loss from Owning and Maintenance of Race Horses ₹ 50,000.

Following are the losses:

- (a) Brought forward House property loss of assessment year 2022-23 ₹ 2,50,000.
- (b) Business loss of Proprietary business from assessment year 2014-15 ₹ 50,000.
- (c) Unabsorbed Depreciation relating to assessment year 2015-16 ₹ 1,00,000.

- (d) Brought forward Long Term Capital Loss from assessment year 2019-20 ₹ 90,000.

Return of income for all the years were filed before the due date except for A.Y. 2019-20.

Compute the total income of Mr. Joshi for the assessment year 2025-26 and show the items eligible for carry forward, assuming that he exercises the option of shifting out of the default tax regime provided under Section 115BAC(1A). **(6 Marks)**

- (b) State with reason whether the following persons are required to file their return of income as per the provisions of the Income Tax Act, 1961 for the assessment year 2025-26:
- (i) Mr. Aneesh aged 31 years, who pays tax under default tax regime u/s 115BAC(1A) had a total income of ₹ 2,90,000 for the previous year 2024-25.
 - (ii) Smt. Patel, aged 65 years, has a TDS credit of ₹ 55,000 during the previous year 2024-25.
 - (iii) The gross receipts of Mr. Ajit, aged 45 years, an architect for the previous year 2024-25 was ₹ 12,00,000, but his profit from profession was only ₹ 2,25,000 and he has no other income.

(4 Marks)

OR

- (b) State the persons who are required to file their return of income in pursuance of the notification issued by the CBDT has vide Notification No. 37/2022 dated 21.04.2022. **(4 Marks)**